5.1 Introduction



Student activity 5.1

Assume you are a partner in a firm. You are going to admit a new partner into your firm. Think of any five agreements that you may want to include in your partnership deed.

A person may join as a new partner in an existing partnership firm. This is called admission of a partner. The purpose of admission of a new partner may be to raise additional capital for expansion of business or managerial skill of the new partner or both. Generally, the new partner has to contribute capital to the firm and thereby he / she acquires the right to share the future profits and the assets of the firm.

On admission of a new partner, the firm is reconstituted with a new agreement and the existing agreement comes to an end.

According to Section 31(1) of the Indian Partnership Act, 1932, subject to contract between the partners no person shall be introduced as a partner into a firm without the consent of all the existing partners.

5.2 Adjustments required at the time of admission of a partner

On admission, the new partner may bring capital in cash or in kind or both. The following journal entry is passed to record the capital brought in.

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Cash or Bank A/c	Dr.		xxx	
	Assets A/c	Dr.		xxx	
	To Partner's capital A/c				xxx

On the admission of a partner, generally there is a change in the mutual rights of the partners. The new partner becomes liable for all the acts which are carried out by the firm from the date of his / her admission into the firm. Hence, the accumulated profits, losses and reserves before admission are to be distributed to the existing partners. Similarly, assets and liabilities are to be revalued and the profit or loss on revaluation is to be distributed to the existing partners. The following adjustments are necessary at the time of admission of a partner:

1. Distribution of accumulated profits, reserves and losses
2. Revaluation of assets and liabilities
3. Determination of new profit-sharing ratio and sacrificing ratio
4. Adjustment for goodwill
5. Adjustment of capital on the basis of new profit sharing ratio (if so agreed)

5.3 Distribution of accumulated profits, reserves and losses

Profits and losses of previous years which are not distributed to the partners are called accumulated profits and losses. Any reserve and accumulated profits and losses belong to

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